WEEKLY ASSIGNMENT. 5

Mergers & Acquisitions (M&A)

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1. What is investment banking?

Investment banking is a type of financial service that helps companies, governments and other organisations raise money and complete important financial transactions. It helps businesses when they need money for expansion want to enter a market acquire another company or make major changes to their business. Investment banks mainly provide advice and help arrange transactions rather than functioning like regular retail banks.

Some important activities of investment banking are:

- Raising capital: helping companies raise money by issuing shares, bonds or other securities.
- Mergers and acquisitions: advising companies that want to merge with buy or sell another business.
- Valuation and financial analysis: estimating a company's value by looking at its statements future cash flows, business risks and market position.
- Deal. Negotiation: helping decide the price, payment method and other terms of a transaction.
- Due diligence support: helping the client check the target company's position, liabilities, contracts and major risks before the deal is completed.

For example, suppose a company wants to raise ₹500 crore to build a manufacturing plant. An investment bank may advise it on whether to raise the money by issuing shares or bonds and help organise the fund-raising process. If the same company plans to buy a competitor the investment bank may also help value the target company assess the offer and negotiate the deal. The exact services depend on the transaction and the bank's role.

In simple terms, investment banking helps organisations make major financial decisions find funding and complete complex transactions with proper financial analysis and advice.

2. What is a merger?

A merger is a business agreement in which two companies join their operations to form one combined business or corporate entity. The companies usually agree to join because they believe that working together can create value than operating separately. The final legal structure depends on the agreement: one company may continue as the surviving company or the businesses may be combined under a structure.

Companies may merge to increase their size reduce operating costs improve their market position combine technologies or serve customers effectively. For instance, imagine two logistics companies that operate in different parts of India. If they merge, they may be able to use a delivery network, coordinate warehouses and serve more customers through one combined operation.

A merger does not automatically guarantee success. The companies need to check whether their finances, systems, employees, work culture and business plans fit together. If integration is poorly managed, expected savings or growth may not happen.

3. What is an acquisition?

An acquisition occurs when one company purchases another company or purchases enough of its shares or assets to gain control over it. The company making the purchase is called the acquirer while the company being purchased is called the target. The acquirer may pay in cash, shares or a combination of both depending on the terms of the deal.

After an acquisition the target company may continue operating under its existing name may become a subsidiary of the acquirer or may be integrated into the acquirer's business. Acquisitions can be friendly where the target's management agrees to the transaction or hostile where the acquirer attempts to gain control despite opposition from the target's management. The exact process depends on the law, ownership structure and deal terms.

For example, imagine an automobile manufacturer buying a component supplier. The manufacturer may want control over the supply of important parts more reliable production schedules and lower dependence on outside suppliers. This is an example of why a company may acquire another business.

The main difference is that a merger describes the combination of businesses while an acquisition specifically involves one company gaining control of another. In practice the terms may sometimes be used together when discussing M&A transactions.

4. State any two reasons why companies merge.

Reason 1: To achieve synergies and reduce costs

Companies may merge because combining their operations can create synergies. Synergy means that the combined business is expected to achieve a result than the two companies could achieve separately. For example, two companies may be able to combine their warehouses, transport systems, technology platforms or administrative departments. They may also negotiate prices from suppliers because they purchase larger quantities. These changes can reduce duplication. Improve operating efficiency. However, the savings are benefits if the companies can actually achieve them after the merger.

Reason 2: To expand into markets and reach more customers

A merger can help companies enter new geographical areas reach a larger customer base or offer a wider range of products and services. Building a presence from the beginning can take time and require substantial investment. By combining with a company that already has customers, distribution channels or local knowledge a business may be able to expand. For example, a company that mainly operates in South India may merge with a company that has a presence in North India. The combined business could serve customers across an area. The companies still need to assess whether the markets and customers are compatible.

5. Company A has a value of ₹100 crore and Company B has a value of ₹60 crore. What is their combined value before considering synergies and transaction costs?

Given:

Value of Company A = ₹100 crore

Value of Company B = ₹60 crore

Formula: value = Value of Company A + Value of Company B

= ₹100 crore + ₹60 crore

= ₹160 crore

Answer: The combined value is ₹160 crore before considering synergies and transaction costs.

Explanation: The two standalone company values are added because the question asks for the value before including any benefit from combining the businesses and before deducting deal-related costs. Synergies could increase the value if the combined business generates benefits while transaction costs such, as advisory fees, legal fees and other deal expenses could reduce the net value. Since the question asks us to ignore both items the answer remains ₹160 crore.